Ch. 4

The Global Context of Business

4.1 International Business and Globalization

International business: refers to all commercial activities that take place across national borders.

Includes:

1- Importing and exporting goods
2- Foreign investments
3- International partnerships
4- Global marketing

Globalization: is the process of increasing interconnection and interdependence among countries, businesses, and people.

Factors that cause globalization to happen and keep it growing:

1- Faster communication and transport
2- Global supply chains
3- Cultural exchange
4- Worldwide competition

Example: A smartphone may be designed in the U.S., assembled in China, and sold in Egypt.

4.2 Major World Marketplaces, Trade Agreements, and Alliances

World Marketplaces: الأسواق العالمية

1- Developed Markets: U.S., Germany, Japan
2- Emerging Markets: Brazil, India, South Africa, Egypt.
3- Frontier Markets: Smaller, less developed economies, Nigeria, Romania.

Trade Agreements: اتفاقيات التجارة

Trade agreements help countries do business with each other by reducing tariffs التعريفة الجمركية and barriers. القيود

Example: EU-Egypt Association Agreement

Alliances: التحالفات

Usually mean strategic partnerships (e.g., two companies collaborating on research, marketing, or entering new markets).

Example: EgyptAir is a member of the Star Alliance — the world's largest airline alliance.

4.3 Import-Export Balances and Exchange Rates

Import-Export Balance: The difference between the total value of a country's exports and imports.

Trade Surplus: الفائض التجاري Exports greater than Imports

Trade Deficit: العجز التجاري Imports greater than Exports

A trade surplus may strengthen the economy, while a trade deficit may lead to borrowing or inflation.

Inflation: A general increase in the prices of goods and services over time.

Exchange Rates: أسعار الصرف determine how much one currency is worth compared to another.

- Floating: Determined by market forces
- Fixed/Pegged: Tied to another currency

A strong currency makes imports cheaper but exports less competitive; a weak currency does the opposite

Exchange rates and trade balances are deeply intertwined متداخلة affecting inflation, investment, and global competitiveness

4.4 Foreign Competition and Business Responses

Foreign Competition:

Businesses face competition from international companies offering similar products, often at lower prices or better quality.

Challenges Include:

Price wars - Innovation pressure - Cultural adaptation التكيف

How Countries and Businesses Respond:

Governments may use tariffs, subsidies دعم حكومي, or regulations لوائح to protect local industries.

Businesses may:

1- Improve product quality
2- Adapt marketing to local cultures
3- Form تكوين international partnerships
4- Invest in technology and training